

Joint Risk Allocation Term Sheet

Neutral structure based on current diligence evidence

Component	Amount	Purpose
Cash to sellers at close	\$82m	value supported at signing
IP and compliance escrow	\$5m	released after four specified cures
Performance earnout	up to \$13m	2027 ARR, retention and named pilot conversions
Employee retention pool	\$5m outside EV	funded at close
Headline enterprise value	\$100m	cash, escrow and earnout

Seller protections

Parent guarantee, quarterly earnout statements, audit rights, consistent accounting definitions, limits on product reallocation, and acceleration if the buyer sunsets the product or terminates key sellers without cause.

Buyer protections

Closing conditions for assignments, data remediation, open-source remediation, customer consents and a security remediation plan. Specific indemnity applies to pre-close IP ownership and prohibited training-data use.